

The Rich Report

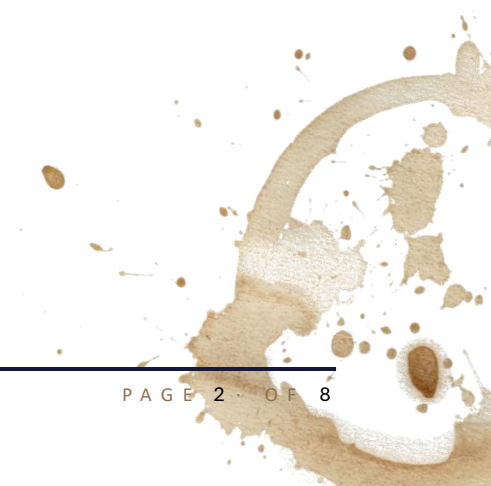
U.S. ECONOMICS NEWS

- **June CPI Surprise:** Consumer prices fell 0.4% in June — the largest monthly drop since COVID — well below the consensus estimate of -0.1%, as a temporary U.S.-Iran peace agreement reopened the Strait of Hormuz and sent gasoline prices down 9.7%; core CPI was flat versus an expected 0.2% gain, though the year-over-year headline rate of 3.5% still sits well above the Fed's 2% target.³
- **Real Wage Gains:** Inflation-adjusted hourly earnings rose 0.8% in June, the largest monthly increase since 2020, as falling energy prices boosted purchasing power; however, real wages are up only 0.1% over the past year, highlighting how sustained energy-driven inflation has effectively eroded worker compensation gains throughout the Iran conflict period.³
- **Producer Prices Fall:** The PPI declined 0.3% in June, well below the consensus expectation of no change, driven by a 12% monthly drop in gasoline prices that accounted for nearly two-thirds of the goods-side decline; however, year-over-year producer prices remain up 5.5% — more than double the 2.4% recorded for the 12 months ending June 2025 — underscoring persistent upstream inflation pressures.³
- **Pipeline Inflation:** Intermediate unprocessed goods prices are up 13.0% year-over-year and processed intermediate goods up 11.1%, signaling that upstream cost pressures remain embedded in supply chains despite June's energy-driven relief; core producer prices (ex-food and energy) rose 0.2% in June with a 4.7% annual rate, nearly double the 2.7% pace recorded for the 12 months ending June 2025.³
- **Housing Contradictions:** Housing starts surged 19.0% in June to a 1.427 million annual rate — beating even the most optimistic Bloomberg forecast — but the gain was entirely driven by volatile multi-unit construction rebounding 76% after a 40% May collapse; single-family starts edged down 0.2% and are off 3.2% year-over-year, with 30-year mortgage rates at 6.6% and the NAHB sentiment index at 34 for the 27th consecutive month below 50.³
- **Warsh Fed Strategy:** New Fed Chair Kevin Warsh, who opposes "forward guidance," is navigating an unusually divided FOMC where nine of nineteen policymakers projected one to three rate hikes in 2026, yet Warsh appears focused on holding rates steady and using balance sheet reduction as the primary inflation-fighting tool; M2 money supply growing at only 4.7% annually over 24 months supports his patient approach.³

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DIGITAL ASSETS NEWS

- **T. Rowe Price enters crypto with actively managed ETF:** The asset management giant's TKNZ fund marks a significant institutional pivot, deploying active stock-selection discipline into digital assets. Rather than tracking a single benchmark, the fund allocates dynamically across major cryptocurrencies — bitcoin, ether, BNB, XRP, solana, and Hyperliquid — seeking to outperform passive indexes through tactical positioning and rigorous risk management.⁵
- **JPMorgan analysts highlight diverging ETF trends:** While Bitcoin spot ETF flows have been volatile and inconsistent — reflecting broader uncertainty in crypto markets — inflows into Leveraged Strategy ETFs have remained notably steadier and more constructive over the past seven weeks, suggesting institutional investors may be favoring amplified traditional-asset exposure over direct cryptocurrency allocations as a more predictable near-term strategy.⁵
- **Vanguard Group quietly signals a crypto reversal:** The \$9 trillion asset manager — once among Wall Street's most vocal crypto skeptics, declining to offer Bitcoin ETFs even as competitors rushed in — has posted its first-ever Head of Digital Assets role. The hire signals a fundamental strategic shift, suggesting Vanguard may finally be preparing to give its massive client base access to digital asset products.⁵
- **Citadel Securities anchors Crypto.com's landmark \$400M raise:** In a deal valuing the exchange at \$20 billion, Citadel Securities led Crypto.com's first-ever institutional funding round on July 16 — a notable milestone for a platform that spent a decade scaling without traditional venture backing. The investment signals growing Wall Street appetite for regulated crypto infrastructure as institutional participation in digital asset markets accelerates.⁵



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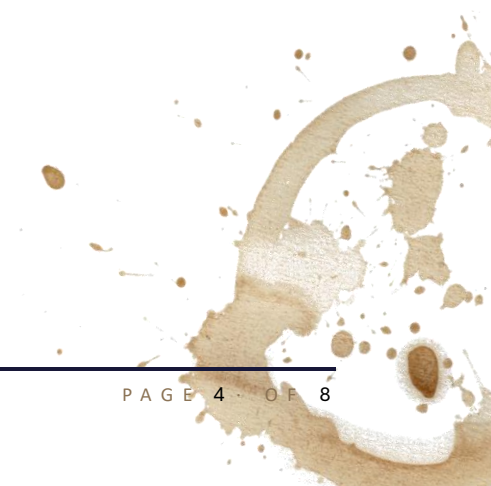
GEOPOLITICS NEWS

- **China:** GDP growth slowed to 4.3% in Q2 2026, the weakest since late 2022, as a booming export sector — semiconductors up 120% year-on-year — failed to offset deep domestic fragility including a property crash, youth unemployment, and persistent deflation.¹
- **China:** Twenty-nine countries, including Russia, Brazil, Cuba, and multiple African and Asian nations, signed an agreement in Shanghai to establish the World AI Cooperation Organization, a China-led intergovernmental body headquartered in Shanghai to govern global AI development.¹
- **China/US:** A Pew Research Center survey found China is now viewed more favorably than the U.S. in most of 36 countries polled — including Canada, Australia, France, and Germany — the first time Beijing has topped Washington in global favorability in nearly 20 years.¹
- **Iran/US:** The U.S.-Iran interim ceasefire has collapsed entirely, with the U.S. conducting successive waves of airstrikes on Iranian infrastructure including bridges and port facilities, while Iran has retaliated against Kuwait, Bahrain, Qatar, and other U.S.-allied Gulf states.¹
- **Iran/US:** Trump reversed his plan to charge a 20% toll on Strait of Hormuz shipping, announcing Gulf states would instead make large trade and investment deals with the U.S., even as renewed fighting rendered the strait largely non-operational with daily crossings falling from over 100 to as few as 25.¹
- **Japan:** Japan's government announced plans to purchase 27,500 Nvidia next-generation AI chips to power a national computing hub launching in 2028, anchored by the Noetra consortium — involving SoftBank, Sony, and Honda — aimed at developing sovereign Japanese AI.¹
- **UAE:** The U.S. upgraded the UAE's technology trade status to the same tier as European allies and South Korea, granting its AI company G42 and U.S. tech firms unrestricted chip access — explicitly tied to UAE airstrikes against Iran and missile interception support during the war.¹
- **US/Defense:** Lockheed Martin announced a cheaper Patriot missile variant — the PAC-3 Adapted Capability Effector — costing less than half the \$4 million-plus MSE round, aimed at replenishing depleted global stockpiles faster as demand from multiple ongoing conflicts strains production.¹
- **US/Minerals:** The U.S. is outspending Europe roughly 8-to-1 on securing critical minerals outside China, raising European fears that Washington's protectionist approach will lock up rare earth supplies needed for European rearmament, leaving the continent more dependent on Beijing.¹

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THE GOOD NEWS

- **Teen Road Safety:** Teen traffic deaths fell 67% between 1975 and 2024, dropping from roughly 8,800 to 2,899 annually. Safer vehicle design, graduated licensing laws, and improved seatbelt use all contributed to this decades-long trend — one of the most dramatic declines in accidental death among any age group in American history.²
- **Hospital Infections:** Hospital-acquired infections in the U.S. have dropped significantly, from affecting 1 in 25 patients daily in 2011 to 1 in 38 in 2023. Better hygiene protocols, infection surveillance systems, and antibiotic stewardship programs have driven steady progress, potentially preventing hundreds of thousands of complications and deaths each year.²
- **Inequality Declining:** The share of economies with high inequality — defined by a Gini index above 40 — has fallen by more than a third over the past three decades. Rising incomes in developing nations, expanded social programs, and broader access to education have helped lift the poorest populations, making economic growth more broadly shared across much of the world.²



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DIVIDEND PORTFOLIO NEWS

- **ABT:** Beat Q2 estimates with strong results; Diagnostics surged 41.8% Q/Q. Raised FY26 adjusted EPS guidance to \$5.45–\$5.60, above consensus, and targets 6.5%–7.5% comparable sales growth. Stock broke above its 100-day moving average on the news. HCA surgery volume softness briefly pressured MedTech peers. ABT was also flagged as one of the S&P 500 stocks down over 30% in 2026, suggesting the rally still faces headwinds.⁴
- **FAST:** Q2 GAAP EPS of \$0.33 came in line with estimates; revenue of \$2.39B beat by \$50M. Digital sales mix is tracking 63%–64% for 2026 with a \$320M capex plan maintained. Shares slipped post-results despite the revenue beat, suggesting investor expectations were set higher.⁴
- **GPC:** Analyst flagged flight-tracking data suggesting an O'Reilly/Genuine Parts transaction is increasingly likely, signaling a potential major M&A development for the auto parts distributor.⁴
- **LMT:** Active week — won a \$10.5B logistics contract and a \$101.8M South Korean defense deal; unveiled a lower-cost Patriot missile and counter-drone system with a BETA partnership; began Firehawk helicopter production for Czech Republic. F-35 annual review withheld by Pentagon amid watchdog oversight. Earnings due this week.⁴
- **NEE:** Filed with regulators alongside Dominion Energy to seek approval for a major merger, a potentially transformative deal for the utility sector requiring regulatory clearance.⁴
- **NTR:** Downgraded by Jefferies citing a weaker long-term outlook for fertilizer markets, reflecting structural demand and pricing concerns beyond near-term cycles.⁴
- **QCOM:** Declared its \$0.92 quarterly dividend. Initiated at Hold by GF Securities, citing need for more visibility on the AI250 platform's ramp. Chip sector broadly under pressure from Asian peer weakness, though stocks rebounded mid-week alongside SK Hynix and Samsung recoveries.⁴

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GROWTH PORTFOLIO NEWS

- **AMD:** Surged after Microsoft announced plans to deploy AMD Helios racks on Azure for AI inference. KeyBanc cited positive views ahead of earnings, and Susquehanna noted accelerating chip industry lead times with rising pricing. Jefferies expects customer announcements at AMD's Advancing AI event. ARK Invest sold \$39M in AMD. Chip sector broadly pressured by Moonshot AI's Kimi-K3 model launch and IBM's enterprise software miss.⁴
- **CVX:** Chevron is exploring an Iraqi oil pipeline bypass of the Strait of Hormuz through Syria, per WSJ — a strategically significant move amid Middle East tensions. Costco's standalone gas pump concept could affect fuel retail dynamics, though impact on Chevron is indirect.⁴
- **FTNT:** Fortinet selected TD Synnex as its global delivery partner, expanding distribution reach. Mizuho issued a price target change. Palo Alto led security stocks higher, with Fortinet moving in tandem amid broader enterprise software caution following IBM's Q2 miss.⁴
- **HUT:** Hut 8 rose after a tenant doubled its footprint at the Beacon Point data center site in Texas, a bullish signal for its data center leasing business. ClearBridge Small-Cap Growth Strategy added new positions, though HUT's specific inclusion wasn't confirmed.⁴
- **NVDA:** TSMC's blowout Q2 and boosted capex validated AI infrastructure demand benefiting Nvidia. Microsoft's AMD Helios rack deployment and H200 chip shipments to China resuming (with ZTE named) were notable. Musk denied a \$52B Foxconn server order. Nvidia CEO confirmed Rubin next-gen chips remain on track and announced Japan AI partnerships. Apple briefly reclaimed world's largest market cap from Nvidia. GMO's Tom Hancock called Nvidia the biggest market opportunity.⁴
- **TSM:** TSMC delivered a strong Q2 beat — GAAP EPADR of \$4.31 vs. \$3.94 estimate, revenue of \$40.2B, beating by \$900M — and raised its growth outlook again citing the AI megatrend. Advanced nodes (7nm and below) drove 77% of wafer revenue. TSMC boosted U.S. investment by \$100B to a \$265B total commitment and confirmed 2nm chips are ready to power Q3 revenue. CFO highlighted Arizona ramp. Analysts broadly bullish post-earnings.⁴

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SUMMARY

In regard to the United States Economy, June delivered a surprise inflation retreat as consumer prices fell 0.4% — the largest monthly drop since COVID — driven by a 9.7% plunge in gasoline prices following a temporary U.S.-Iran ceasefire. Core CPI came in flat and producer prices also declined. However, year-over-year headline inflation remains at 3.5%, pipeline pressures persist at double-digit levels, and single-family housing stays weak, leaving the Fed's path anything but clear.

In the world of digital assets, institutional adoption accelerated on multiple fronts. T. Rowe Price launched an actively managed crypto ETF allocating across major digital assets, while Vanguard — long a vocal skeptic — posted its first Head of Digital Assets role, signaling a strategic reversal. Citadel Securities anchored a \$400 million raise valuing Crypto.com at \$20 billion, and analysts noted leveraged strategy ETFs drawing steadier institutional inflows than direct Bitcoin vehicles.

Recently around the globe, the U.S.-Iran ceasefire collapsed, with renewed airstrikes reducing Strait of Hormuz traffic from over 100 daily crossings to as few as 25. China's economy slowed to 4.3% GDP growth despite booming semiconductor exports, and Beijing led 29 nations in founding a new AI governance body. A Pew survey showed China now viewed more favorably than the U.S. in most polled countries, marking a notable geopolitical shift.

For the good news, human progress continued on several fronts. Teen traffic fatalities dropped 67% between 1975 and 2024, reflecting decades of safer vehicles and graduated licensing laws. Hospital-acquired infections fell from one in 25 patients in 2011 to one in 38 by 2023. Meanwhile, the share of economies with high inequality has declined by more than a third over thirty years, as rising incomes and broader educational access made growth more widely shared across the developing world.

In the news for the dividend portfolio, Abbott Laboratories delivered a strong quarter, raising full-year guidance above consensus and clearing a key technical level. Lockheed Martin secured over \$10 billion in new contracts while unveiling a lower-cost Patriot missile variant. NextEra Energy filed for a potentially transformative merger with Dominion Energy. Fastenal met revenue expectations, Nutrien faced a downgrade on long-term fertilizer concerns, and Genuine Parts attracted M&A speculation.

And, for the growth portfolio, Nvidia remained central as TSMC's blowout quarter — revenue of \$40.2 billion with a raised outlook — validated surging AI infrastructure demand. TSMC confirmed 2nm chips are powering Q3 revenue and boosted its U.S. investment to \$265 billion. AMD surged on Microsoft's Azure deployment announcement. Fortinet expanded its global distribution partnership, and Hut 8 gained after a tenant doubled its Texas data center footprint.

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RESOURCES

1. Research accumulated from <https://www.patreon.com/cw/PeterZeihan>, <https://x.com/>, and <https://seekingalpha.com/>
2. <https://newsletter.humanprogress.org/>
3. Research accumulated from <https://www.ftportfolios.com/> and <https://bravosresearch.com/research/>
4. <https://seekingalpha.com/>
5. <https://www.coindesk.com/latest-crypto-news>

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